Though his was the spark which had ignited the fire, Rama Rau thought that ad hoc initiatives such as these ran the risk of preventing a unified view being taken of the needs of the private sector and of the means to mobilize private resources for investment. This was not hard to understand since the Shroff Committee had already been entrusted with this task. There were also misgivings about the relative roles of this bank, the industrial development corporation proposed by T.T.K., and the IFCI. However, a committee comprising Ram Nath and Secretaries to the economic departments of the Government of India which considered the proposal agreed that there was enough room for all three institutions to exist side by side.[7]

An Idea Becomes an Institution

George Woods and his team made a stopover at London en route to India. It had earlier been expected that CDFC would pick up part of the equity of the proposed development bank and thus help stimulate investor interest on Wall Street. But the Black proposals received a cool reception in London. Officials were wary of an arrangement in which CDFC undertook the risks of equity ownership while the World Bank made guaranteed loans to the development bank and refused to commit themselves to the project. There was also the feeling that Indian businessmen were incapable of cooperating with one another in the public interest, and when Black's envoys arrived in India, there was nothing to warrant much optimism. But the visit of Woods and his team proved to be a great success.

Woods, it appears had discussed this proposal with G.L. Mehta, then India's Ambassador to Washington. Mehta wrote: 'Years later, in 1964, I asked George Woods whose idea it was to have such an institution…. He told me that the idea was suggested to Mr. Eugene Black by Mr. Clifford Wilson who was head of the Technical Co-operation Administration, later known as the Agency for International Development (AID)…. I first met George Woods when he came to Delhi in June 1952 as the World Bank's expert advising on the loan applications of the Tata Iron and Steel Company. I was then a Member of the Planning Commission. At a dinner given for Woods by the Prime Minister, I was sitting next to him and told him of my appointment as India's Ambassador to Washington, which had